Activity 2: Global Trigger and Regulatory Perimeter Map

Mapping: K1, A1 / LO1

Duration: 20 minutes

Deliverable: Regulatory perimeter map with owners and escalation rules.

Goal

Show how customers, data flows, contracts, staff and suppliers can make global legal developments relevant to a Singapore business.

Real Case Study

Case: ACRA/CAD investigation involving 35 Singapore companies and foreign agents

Date: 1 June 2023

Status: Charges reported; do not treat allegations as convictions

Official source: ACRA - 12 persons charged with Companies Act offences

Published Facts

ACRA reported that foreign agents used overseas corporate service providers to engage Singapore providers to incorporate local companies and open bank accounts. Investigations found that nominee directors of 35 Singapore-registered companies allowed foreign agents to operate the accounts, which received and laundered about US$36 million from local and overseas scam victims. Twelve persons were charged with Companies Act offences.

Exercise Boundary

Treat the enforcement status accurately: the source reports charges and investigation findings. The perimeter map is a preventive analysis, not a finding about the guilt of every person charged.

Questions

1. Which cross-border actors, services, accounts and victims expanded the risk perimeter?
2. Which Singapore director/CSP duties remain local even when instructions originate overseas?
3. What customer, agent and transaction information should trigger enhanced review?
4. Which red flags require refusal, escalation or a suspicious-transaction decision?

Detailed Step-by-Step

1. Draw the organisation at the centre of a page.
2. Add five spokes: customers, data, people, vendors and capital/contracts.
3. Write the relevant jurisdiction and business promise on each spoke.

4. Mark baseline Singapore obligations separately from possible foreign obligations.
5. Assign an owner and monitoring source to each legal trigger.
6. Write one escalation rule for a material change.

Worksheet

Requirement / issue	Business fact	Gap or impact	Decision / control	Owner	Deadline	Evidence

Acceptance Check

- ■ Five trigger categories covered
- ■ Singapore/foreign distinction clear
- ■ No foreign rule treated as Singapore law
- ■ Escalation rule is decision-ready

Debrief

- What assumption had the greatest effect on your recommendation?
- What evidence would a director, auditor or regulator expect to see?
- What would you verify with qualified legal, tax or sector advice?

Sources

- ACRA - 12 persons charged with Companies Act offences
- ACRA - Company directors' duties & key obligations
- Wolters Kluwer - What is corporate regulatory compliance?
- University of Pittsburgh Law - Corporate compliance laws and regulations
- ES Law - Corporate law basics every business owner should understand

Educational activity only; verify current requirements with the relevant regulator and qualified advisers.